COURSE

# IB Diploma Programme Business management HL

# Pricing

**Unit 4: Marketing · 4.5 The seven Ps of the marketing mix: price**

Revision for Unit 4: Marketing: each firm works it out on its own deals.

Class **IB Business Management HL** Topic **Pricing**

THE LESSON

| | |
|---|---|
| **Setup** | 3 min |
| **Round 1** | Decisions 3 min · Deals 5 min · Topic tasks 4 min |
| Firm decisions · Deals · Topic task 1 · Topic task 2 | |
| **Round 2** | Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 3 min |
| Firm decisions · Deals · Topic task 3 · Topic task 4 · B2B deal | |
| **Round 3** | Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 3 min |
| Firm decisions · Deals · Topic task 5 · Topic task 6 · B2B deal | |
| **Final questions** | 3 min |

Fits a 30-minute lesson setting; longer settings add more deals.

# Each step

| | |
|---|---|
| **Firm decisions** | Each role makes its decision on its own page. |
| **Deals** | Each pupil trades with a classmate in another firm. |
| **Topic task** | The firm answers together. Everyone presses Agree. |
| **B2B deal** | One firm sells a lot of cars to another firm. |
| **Final questions** | Each pupil answers six questions. |

# Firm decisions

| | | |
|---|---|---|
| **CEO** | **Staff** | Hire staff. Each costs a salary and gives one benefit. |
| | **Sabotage** FROM ROUND 2 | Hit a rival firm's cash, at a cost. A Legal Counsel blocks it. |
| **Sales & Marketing** | **Marketing** | Book one advert campaign to lift the next sales. |
| **Finance** | **Capital & Loans** | Borrow cash. The firm pays it back with interest. |
| | **Investments** FROM ROUND 2 | Buy property or funds. The value can rise or fall. |
| **Operations** | **Seasonal stock** | Order the season's cars in advance. |

**B2B deal · Rounds 2 and 3**

One firm sells a lot of 3 cars to another firm (4 in Round 3). With an odd number of firms, two firms offer to sell and the lower price wins.

# Topic tasks

Each firm gets its own figures. The method is the same for every firm.

## Task 1

ROUND 1

Mark-up or margin?

**Margin, as % of the price? Nearest whole %.**

WORK OUT THE NUMBER · EXAMPLE FIGURES

| | |
|---|---|
| Full cost per car | **£10,000** |
| Your mark-up | **25%** |

METHOD

**Margin % = mark-up in £ ÷ (cost + mark-up) × 100**

£2,500 ÷ £12,500 = 20.0%

**Why:** The same profit is a bigger share of the cost than of the price.

## Task 2

ROUND 1

You launch a new model in your area.

**Which two conditions suit price skimming?**

PICK TWO

- ○ Buyers compare prices closely
- ✔ **Early buyers will pay a premium**
- ✔ **Rivals cannot copy it soon**
- ○ Rivals sell the same model
- ○ You want a big share fast

**Why:** Skimming works while the product is new, hard to copy, and wanted by buyers who pay more.

## Task 3

ROUND 2

Full cost: £12,000. Three ways to set the price.

**Order by price, highest first?**

PUT THESE IN ORDER, FIRST TO LAST · RIGHT ORDER

1. **A 25% margin on the price**
2. **A 30% mark-up on cost**
3. **Cost plus £3,400**

**Why:** £12,000 ÷ 75% = £16,000; £12,000 × 130% = £15,600; £12,000 + £3,400 = £15,400.

## Task 4

ROUND 2

They want a discount.

**Profit on the 3 cars?**

WORK OUT THE NUMBER, THEN PICK IT · EXAMPLE FIGURES

| | |
|---|---|
| List price per car | **£14,500** |
| Fleet discount | **10%** |
| You pay per car | **£10,450** |

METHOD

**Profit = cars × (list price − discount − you pay)**

3 × (£14,500 − 10% − £10,450) = £7,800

**Why:** The 10% discount costs £4,350 of profit on the deal.

## Task 5

ROUND 3

Weekend service slots are always full; weekday slots are half empty.

**Which pricing should you choose, and why?**

PICK A OR B AND GIVE A REASON

- ✔ **Lower prices on weekdays**
- ○ One price every day

**Why:** Price discrimination fills the empty weekday slots without cutting weekend prices.

## Task 6

ROUND 3

Price to hit your target.

**Price with the 25% margin?**

WORK OUT THE NUMBER · EXAMPLE FIGURES

| | |
|---|---|
| You pay per car | **£9,310** |
| Prep per car | **£440** |
| Target margin on the price | **25%** |

METHOD

**Price = (you pay + prep) ÷ (100% – target margin)**

(£9,310 + £440) ÷ 75% = £13,000

**Why:** A 25% margin is a 33% mark-up on cost.

# Final questions

**6**
questions for each pupil

**109**
Level 3 Business questions

**0**
of them on pricing

**The game draws 6 of the 109 Level 3 questions. None of them is about pricing yet.**